

Forecasting Chaos

ANYONE IN MY line of work is familiar with the *perils of predictions*. If you appear in the media and occasionally opine on risk assets, the occupational hazard is eventually, someone will ask you for your forecast.

Unfortunately, investors give print and TV predictions more weight than they deserve. A confident-sounding analyst or economist who makes bold, exciting claims is catnip to investors. This can throw off even the best-laid financial plans.

I wish the Securities & Exchange Commission (SEC) mandated the following disclosure to accompany all punditry:

The undersigned admits that he or she has no idea what's going to happen in the future, and hereby declares that this prediction is merely an unsupported and wild speculation...

I've been tracking pundit nonsense for three decades; I have yet to find *anyone* who consistently forecasts markets with any degree of accuracy. Extrapolating a short-term trend is the best you can hope for with markets or economic data. This truism never dissuades prophets or the press from their fortune-telling ways.

Gains are always relative to potential losses, and higher returns by definition involve greater levels of risk. Your frame of reference for risk is always against the "risk-free" rate of returns that US Treasury bonds provide: Treasury bond yield, minus inflation.

But I really like the definition Elroy Dimson, Emeritus Professor of Finance at London Business School, uses: "Risk means more things can happen than will happen."⁶⁷ There are many more potential outcomes than the one that eventually occurs. It is fair for investors with capital at risk to ask: "Am I getting paid enough yield or upside relative to the possibility that a less